ASSEMBLY

25 February 2026

Title: Budget Framework 2026/27 and Medium Term Financial Strategy 2026/27 to 2030/31	
Report of the Leader of the Council	
Open Report	**For Decision**
Wards Affected: All	**Key Decision:** Yes
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Summary

This report presents the Council's proposed budgets for 2026/27, together with the latest Medium Term Financial Strategy forecasts to 2030/31.

The annual budget process is the formal allocation that enables the delivery of the Council's policies and priorities and also complies with the Council's statutory obligations in setting the Council Tax for the following financial year. The delivery of the Council's priorities of value-for-money and living within our means are key themes which underpin the proposed budgets.

In line with statutory requirements, the Assembly is required to approve the proposed Band D Council Tax for 2026/27 and to note the Mayor's GLA precept which will be added to this amount.

Members should note that the proposed budget includes decisions taken by the Cabinet on 16 February 2026 in relation to the Fees and Charges 2026/27 report.

Members are also presented with the revised two-year Capital Programme to 2027/28, together with the Council's proposed Capital Budget for 2026/27. The budget proposals have been developed alongside the Council's revised Capital Strategy and Treasury Management Strategy which are presented as a separate agenda item.

The Assembly is also asked to approve the HRA revenue and capital budgets for 2026/27 as well as the Dedicated Schools Budget for 2026/27.

Members should note that the proposed General Fund budget includes £8.7m of savings, of which £1.8m relates to Invest-to-save proposals, and £32.8m of growth from the 2025/26 revised budget. This report includes the Council's Chief Financial Officer (S151 Officer) opinion on the robustness of the budget proposals and the adequacy of reserves given the financial risks that the Council is facing. Members should have due regard to this Section 25 statement, attached at Appendix H, when making their decision.

The report also includes details of the feedback from the budget consultation on savings proposals and that the proposed budgets reflect LBBD's decision to withdraw from the Business Rates Pool, as remaining in the tri-borough arrangement with Havering and Thurrock Councils is no longer financially beneficial. The pool was subsequently not included as part of the Provisional Local Government Settlement (PLGFS).

The proposals in this report were considered and endorsed by the Cabinet on 16 February 2026.

Recommendation(s)

The Assembly is recommended to:

(i) Agree that the amount of Council Tax (Band D equivalent) shall increase by 4.99%, inclusive of the Adult Social Care Precept of 2%;

(ii) Agree that the Council Tax to be set for 2026/27 shall be £1,687.99 for a Band D property, an annual increase of £80.23;

(iii) Note that the Council shall levy an additional £510.51 on the Band D amount above on behalf of the Greater London Authority, which represented an increase of 4.1%;

(iv) Note the amount of 57,526.52 as the Council Tax Base for Barking and Dagenham for 2026/27, a decrease of 620.28 on the previous year, in accordance with Regulation 3 of the Local Authorities (Calculation of Council Tax Base) Regulations 1992 made under the Local Government Finance Act 1992 (as amended);

(v) Agree, in setting the Council's General Fund revenue budget, to set the Council Tax requirement at £97.1m for 2026/27;

(vi) Consider and have due regard to budget consultation feedback with residents and businesses as set out in Section 20 of the report;

(vii) Agree the Statutory Budget Determination for 2026/27 as set out at Appendix D to the report;

(viii) Approve the proposed General Fund Revenue Budget for 2026/27 as set out in Appendix A to the report;

(ix) Agree the new savings, including Invest-to-Save, and growth proposals as set out in Appendix B to the report;

(x) Approve the latest General Fund Medium Term Financial Strategy 2026/27 to 2030/31 as set out in section 3 and Appendix A to the report;

(xi) Note that the proposals to maintain a General Fund balance of £12m in line with the Council's approved Reserves Policy (July 2023);

(xii) Note the projected reserve balances at 31 March 2026, as set out in section 19 of the report;

(xiii) Approve the Council's provisional Capital Programme, including Investment and Acquisition Strategy (IAS) schemes, for 2026/27 to 2027/28 as detailed section 17 and Appendix G to the report;

(xiv) Approve the Council's updated Capital Budget for 2025/26, as set out in section 17 of the report;

(xv) Agree to set a Capital Budget for 2026/27 at £126.7m, as detailed in Appendix G to the report;

(xvi) Approve the Strategy for the Flexible Use of Capital Receipts at Appendix I to the report, in line with the regulatory requirements to facilitate the delivery of efficiency savings including capitalisation of redundancy costs;

(xvii) Note and approve the revisions between the Provisional and Final Local Government Finance Settlement, as set out in Section 21 of the report; and

(xviii) Note the Chief Financial Officer's Statutory Finance Report (Section 25 Statement) as set out in Appendix H to the report and, in particular, their determination of "the robustness of the estimates made for the purposes of the calculations, and the adequacy of the proposed financial reserves".

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Reason(s)

The Council has a legal obligation to set its Council Tax for the following financial year and approve an annual, balanced budget on the advice of the Council's Section 151 Officer. The relevant legal provisions are set out in the Local Government Finance Act 1992. The setting of the budget is a function reserved to Full Council (Assembly) following recommendation for approval by Cabinet.

The Local Government Act 2003 Section 25 sets a specific duty on a local authority's Chief Financial Officer (S151 Officer) to make a statement on their opinion on the robustness of the budget proposals and the adequacy of reserves factoring in the financial risks that the Council will be facing over the next 12 months.

The Council's constitution requires the Assembly to be responsible for the adoption of the Council's Budget and Policy Framework including the level of Council Tax, Revenue Budget and Capital Budget and Programme. Once a Budget or a Policy Framework is in place, it will be the responsibility of the Cabinet to implement it.

1. Introduction

1.1. This report presents the latest update for Members on the 2026/27 Budget and Medium-Term Financial Strategy (MTFS). It reflects all changes since the Draft

Budget Strategy considered by Cabinet in December 2025 and consolidates the key financial issues requiring Cabinet decision ahead of making recommendations to Assembly for the final budget and Council Tax setting for 2026/27.

1.2. The Council continues to operate in a challenging financial environment, driven by sustained demand across adults' and children's social care, SEND and housing services, alongside inflationary and wider economic pressures. Despite these pressures, the introduction of the new Local Government Fair Funding Formula has materially strengthened the 2026/27 financial position and supports continued investment in priority services.

1.3. The balanced 2026/27 General Fund revenue budget is supported through a combination of previously approved and new savings, Invest-to-Save proposals and additional Government funding. While a balanced position has been achieved for 2026/27, the MTFS identifies a significant medium-term challenge, especially in years 4 and 5, if no further action is taken. The new Council-wide Change Programme will be central to addressing this gap, underpinned by strengthened financial governance and sustainable demand management.

1.4. This report also presents the proposed two-year capital programme to 2027/28 together with the final capital budget for 2026/27. The Council is also required to publish a Capital Strategy which outlines the Council's strategic approach to investment in its assets and demonstrates how proposed investment is aligned with Council priorities as well as how it is both affordable and sustainable. The Capital Strategy underpins the proposed two-year capital programme and budget and is presented as part of the "Treasury Management Strategy Statement 2026/27 and Capital Strategy 2026/27 to 2027/28" report elsewhere on the agenda.

1.5. The Assembly must have full regard to the Section 25 Statement from the Section 151 Officer, which provides an assessment of the robustness of the budget and the adequacy of reserves, and must consider this in making recommendations to Assembly.

2. Background

2.1. The proposed final budgets have been prepared under considerable financial and operational challenges faced by the Council during 2025/26. Macro-economic factors have continued to impact the Council's finances considerably, with inflation leading to significant cost rises and increases in interest rates slowing down development activity. This, in turn, has an impact on the Council's subsidiary companies.

2.2. The Council welcomes the implementation of the Government's Funding Reform, which now provides a revised funding framework intended to more accurately reflect both current and forecast local need. The borough's demographics have changed significantly over recent years with an increasingly younger population but with a working age population that requires greater support across all our services especially social care. Through its Investment and Acquisition Strategy, the Council has significantly increased affordable housing supply within the borough. However, due to the impact of the pandemic, downturn in the economy including historically higher levels of inflation and a consequent cost of living crisis, means more residents require access to Council services.

2.3. The financial sustainability of the whole of Local Government is under stress and this has been seen by a number of Local Authorities requesting Exceptional Financial Support in 2025/26, effectively signifying their inability to deliver a balanced budget, and many others warning that they are close to that position (please see the S151 Officer's Section 25 Statement, Appendix H).

2.4. As is the case across the country, social care funding, particularly adult social care funding and its escalating costs, is a significant challenge for all local authorities. LBBD continues to see rises in requests for support and assessments, and significant changes in the nature of needs within that ASC care, from older to working age adults, and complexity of that care has increased over the last five years.

2.5. Although inflation has begun to stabilise, overall costs remain significantly higher than in previous years. Delivering key services is costing significantly more due to the high levels of inflation and the considerable change in the Borough's demographics with much greater complexity of need for users of council services, particularly social care. Whilst, in general the demand for social care is increasing moderately, the level of need and associated costs for existing and new service users is much higher and much more complex.

2.6. The combination of these factors has led to significant challenges for the Council in setting a balanced budget for 2026/27.

2.7. Looking at next year and the remainder of the MTFS, the Council is likely to be facing further inflationary pressures and has expectations of rising demand for services and/or changes in complexity of need, particularly for social care and housing provision. These financial risks are set out in section 18 below.

2.8. To facilitate regeneration in the borough and the provision of much needed housing, the Council approved an Investment and Acquisition Strategy (IAS) in 2016. The IAS Strategy was established to be self-financing and had a target ambition of delivering a 5% revenue return to the Council, both of which are now at risk due to cost increases and completion delays.

2.9. Rising interest rates impact on the Council's borrowing costs and, in particular, on the ambitions of the Council's Investment and Acquisition (IAS) Strategy. Since 2016 the Council has delivered over 2,500 units of housing in the borough and a further 400 units are also under construction and due to complete over the MTFS period.

2.10. An inherent aspect of the IAS, and regeneration more generally, is the length of time it takes from a decision being taken by Cabinet to proceed with a regeneration scheme and the actual delivery of that scheme which exposes the Council to the inherent risks of housing development. Unfortunately, global events in recent years have meant that both these risks have crystallised with significant increases in both construction costs and interest rates.

2.11. The rise in interest rates and the high inflation costs within the construction sector have led to a number of schemes costing more than originally planned and new schemes unable to pass the viability assessments. Whilst this has led to a pause on new schemes, there will still be a requirement for the Council to borrow an additional £138m to complete the existing approved schemes.

2.12. The total borrowing as at 31 December 2025 was £1.6bn, of which £180m related to the General Fund, £295m to the Housing Revenue Account and £1.1bn to the IAS. The IAS borrowing is funded from income from rents, both from housing units and commercial property investments.

2.13. Under the IAS, the Council holds a commercial investment portfolio, predominantly acquired by way of land assembly for regeneration schemes. This portfolio is currently not performing financially, and the Council has commenced a strategic review in conjunction with external advisors and subsidiaries to put in place an asset management plan to improve the efficiency and rationalise the commercial assets. An updated IAS/Commercial Asset Management approach was presented to and endorsed by the Cabinet on 16 February 2026.

2.14. The Council's assets do have a market value, and these values are regularly subject to external valuation to ensure that in the event of disposal, the capital receipts are sufficient to cover the cost of borrowing.

2.15. The Treasury Management Strategy Statement (TMSS), also provided as part of the same agenda as this report, details the impact of the Council's debt and forecast interest rates together with the proposed borrowing strategy over the MTFS period. The Council's external treasury advisors provide expert support in the development of the strategy.

2.16. Economic uncertainty has resulted in increasing homelessness and requirements for Temporary Accommodation, particularly in London Boroughs. Due to future local housing supply and homelessness accommodation allocation strategy changes, the council is not facing a core budget pressure in 2026/27 and hence no increase in budget is assumed. However, there is still significant risk that demands on Temporary Accommodation could continue to grow and furthermore create cost implications for the council. This situation will continue to be closely monitored and managed.

2.17. The Council has also established a group subsidiary structure, for specific purposes, and services are provided both to and from those subsidiaries. The reduction in activity under the IAS has had a direct impact on Be First, the Council's regeneration vehicle. High costs have also impacted on other subsidiary members. In November 2025, Cabinet agreed a new partnership model which will enable the future pipeline of Be First sites and will become less reliant on Council borrowing.

2.18. The financial performance of the subsidiaries impacts on the Council's budgets, both in terms of the services provided but also servicing indebtedness and repayment of capital amounts. There is currently no dividend income targets in the General Fund budget. The Council has made a commercial loan to fund an asset in the BDTP group and has made working capital loans to two of its subsidiaries. One of the entities has fully repaid its working capital and agreed a new revolving facility going forward. There are wider associated financial risks which are set out in the risk section below.

2.19. The proposed General Fund budget will include estimates based on assumptions on factors beyond the Council's control e.g. pay award, and Members should have regard to these assumptions in making their decision. Sensitivity analysis has been modelled on some of these key assumptions.

2.20. In considering their decision to approve the budget, Members should have due consideration to the level of reserves remaining after the proposed budget has been set, together with the financial risks that the Council is facing which are also set out below.

2.21. Appendix H is the Council's S151 Officer's Section 25 statement which sets out their opinion on both the robustness of the budget proposals and the adequacy of the Council's usable reserves to cover potential financial risks. Members should have particular regard to this statement in their decision making.

2.22. The Council has withdrawn from the Business Rates Pool for 2026/27 because the financial benefits previously gained from pooling arrangements are no longer available following the national business rates reset. The reset has significantly reduced the growth retained locally by member authorities, meaning the pool no longer generates a net financial gain for the Council. As a result, remaining in the pool would not provide the level of advantage seen in previous years, and the Council will now manage its business rates position independently.

Economic Context

2.23. On 26 November 2025, the UK Chancellor's Autumn Statement alongside the Office for Budget Responsibility's (OBR) key economic forecasts which indicated a reduction in inflation projections. The forecasts of the rate of CPI in 2025/26 has been progressively raised upwards in each of the last three fiscal events to a peak of 3.5% at Budget 2025. The CPI forecasts in Budget 2025 for the next four years are on average only 0.1% per annum higher than those made at the Spring Statement and is the same in three of the four years as made at Autumn Budget 2024.

	2024/25	2025/26	2026/27	2027/28	2028/29	2029/30
Budget 2025	2.4%	3.5%	2.2%	2.0%	2.1%	2.0%
Spring Statement 2025	2.3%	3.2%	1.9%	2.0%	2.0%	2.0%
Autumn Budget 2024	2.3%	2.6%	2.2%	2.1%	2.1%	2.0%
Spring Budget 2024	1.6%	1.6%	1.7%	2.0%	2.0%	

2.24. Whilst CPI is the most relevant measure of inflation for local authorities (e.g. HRA rents often linked to this index as well as citizen benefits) a number of the Council's contracts will also include indexation clauses based on RPI. The forecasts for the rate of RPI in 2025/26 has been progressively raised upwards in each of the last three fiscal events to a peak of 4.6% at Budget 2025. The RPI forecasts in Budget 2025 shows a steady decline to 3.4% in 2026/27 and 3.0% in 2027/28 before plateauing at 2.9% in the final two years shown. This is on average 0.1% per annum higher than the forecasts made in the Spring Statement.

	2024/25	2025/26	2026/27	2027/28	2028/29	2029/30
Budget 2025	3.3%	4.6%	3.4%	3.0%	2.9%	2.9%
Spring Statement 2025	3.3%	4.2%	3.1%	3.0%	2.8%	2.8%
Autumn Budget 2024	3.4%	3.5%	3.2%	3.1%	2.9%	2.8%
Spring Budget 2024	2.4%	2.2%	2.6%	3.0%	2.9%	

2.25. UK Inflation may be significantly impacted by global inflation.

2.26. The Government has introduced a revised set of Business Rates multipliers for 2026/27, including reductions to the non-Retail, Hospitality and Leisure (RHL) small business and standard multipliers and the creation of a new high-value multiplier. Further detail is set out in Section 8. The Council's system was updated in line with the above changes and the data required was extracted to prepare Business Rates estimates. In total 2025/26 Business Rates income increased by about 7.8% and the Council's share of 30% is about £27.5m.

2.27. The Government published its response to the Fit for the Future consultation on Local Government Pension Scheme pooling in May 2025. This strengthened the compulsion element of pooling and Funds have to have all of their investments pooling-compliant by 31 March 2026. Work to achieve this is well advanced. The London Borough of Barking and Dagenham Pension Fund has been one of the best performing LGPS funds over 1,3 and 5 years. The recent actuarial valuation saw the funding level increase to 108%.

3. MTFS 2026/27 to 2030/31 Principles and Assumptions

3.1. The Medium-Term Financial Strategy (MTFS) sets out the Council's high-level approach to financial planning and the management of its financial resources to underpin its continued financial sustainability but also to ensure that its financial resources are aligned with the Council's Strategic plans. The MTFS should highlight all matters affecting its financial position and sustainability over the medium term as well as consider strategic objectives and constraints in finances which may impact on decision making.

3.2. To do this effectively, a Council needs to be fully aware of its financial position, and to be successful the Strategy must be owned by the wider organisation and those responsible for decision-making.

3.3. The Council's assets should be a key feature of financial planning ensuring any value from those assets is maximised. The financial strategy should consider every opportunity to rationalise its asset base and/or improve returns on capital invested in those assets. For this reason, the Council's Capital Strategy should sit alongside the Medium-Term Financial Strategy and consider future asset investment requirements and/or identify where required investment is not affordable and there is potentially a gap.

3.4. Annual budgets, by definition, are short term in nature and so the MTFS provides financial forecasts over the medium term but the further out these forecasts project,

the greater the uncertainty with the financial estimates due to the number of factors which are beyond the Council's direct control.

3.5. This is particularly true in relation to government funding. In December 2025, the Government published the first multi-year Local Government Finance Settlement since 2016/17. Following the 2016/17 settlement, which provided indicative funding through to 2019/20, subsequent settlements were issued on a one-year basis. This prolonged period of annual settlements significantly constrained the Council's ability to undertake reliable medium-term financial planning. The new multi-year settlement, covering 2026/27 to 2028/29, has restored a degree of funding certainty and has enabled the Council to develop and present a five-year Medium Term Financial Plan (MTFP). For years 4 and 5 of the MTFP, which fall outside the published settlement period, projections have been based on prudent CPI-linked assumptions.

3.6. Due to the inherent risk and uncertainty, the Council's financial strategy should also include sensitivity analysis whereby the impact of changes to the key variables e.g. funding is assessed. This scenario testing allows the Council to make a judgement as to the most likely scenario to underpin its financial planning assumptions and assess the financial impact of different scenarios.

3.7. It should be remembered that the Council has finite resources within which to deliver services and meet strategic objectives. Inevitably, decisions will need to strike a balance between the relevant service priorities, statutory obligations and funding envelope within which the Council must operate. Whilst the Council exists for the benefit of providing services to residents, balancing the respective needs of those has always been challenging.

3.8. Continuing to assess and consider how best to meet the needs of its service users is a continual process and understanding changing demographics is an important part of this assessment. Changes can impact not just on demand but also the way that users want to access or use Council services.

3.9. For Barking & Dagenham, the demographics have changed significantly over the last decade, and this has had a particular impact on the nature of the demand for social care services alongside the significant national challenges regarding the cost of social care placements. The cost of children's residential placements has increased substantially in the last five years according to local analysis of placements across this period. A greater proportion of the borough's population is now much younger, although the Council has seen a significant increase in demand and complexity of support needs for its working-age population and this has led to significant financial pressures.

3.10. However, as highlighted above, objectives over the medium term will need to be prioritised to ensure that service delivery is achieved through the approved financial framework. The key principles underpinning the Barking & Dagenham MTFS are set out below:

a) A Council-wide approach to support addressing the drivers and solutions for social care demand. For example, how the Council's Housing Strategy can better support older people and those with learning disabilities. Improvements to the digitalisation advice and guidance offer, so people are supported earlier and easier when they need help.

b) A revised governance structure is now in place, with the former Transformation Board replaced by a new Change Board following the December revisioning workshop
    - The Change Board has a defined purpose and scope, centred on developing and overseeing a council wide change strategy aligned to the MTFS.
    - Its core objective is to support delivery of £50m savings over the next three years and address ongoing financial pressures.
    - Membership and roles have been refreshed, with a clear distinction between the Change Board's operational remit and the Executive Team's strategic oversight.
    - Regular bi-monthly or quarterly reporting to the Executive Team will ensure visibility of progress and a holistic view of all change activity.
    - The Change Board will act as the approval point for business cases, confirming funding already agreed by Finance and coordinating with other existing boards.
    - Cochaired by the Strategic Director of Resources/Section 151 Officer and the Director of Change, the Board ensures disciplined delivery, benefits realisation and programme wide accountability.
    - Development of the Change Strategy and Plan is underway, with completion expected by June 2026 and alignment to external best practice recommendations from the LGA Peer Review and Grant Thornton.

c) Fundamental review of the Council's subsidiary structures, taking stock and looking at why those structures were established, their purpose and benefit. This has resulted in significant changes to the Board and Executive make up of Be First and BD Group in the last year, as well as changes to the governance arrangements of the shareholder.

d) Fundamental review of the Council's Investment & Acquisition Strategy (IAS) with the same principles as in (c) above but with an additional objective of de-risking the IAS Asset Portfolio should that be required. Also reviewing financial forecasting ensuring that it is robust and gives assurances over the ability for IAS schemes to meet the Council's borrowing costs and then any corrective action can be taken where necessary.

e) Strong focus on the Council's borrowing strategy to underpin the IAS borrowing, working closely with Council advisors, to ensure that future required borrowing to complete existing schemes is affordable and any risk to increased General Fund costs is mitigated.

f) Comprehensive Asset Management Strategy is developed to ensure that the Council is using its assets in a way that brings maximum benefit to the Council as a whole. This will include rationalising the asset base as appropriate or repurposing assets for alternative use and underpinned by up-to-date, independent stock condition surveys.

g) Continue to monitor the local Council Tax Support Scheme (CTRS) – The level of support provided through the CTRS remains unchanged from 2025/26. However, given the reduction implemented in 2025/26, it is essential to

continue monitoring the scheme closely throughout the MTFS period to assess impacts and determine whether further review or adjustment is required.

h) Fees & Charges income – the Council will seek to ensure that it achieves full-cost recovery on the services that it provides whilst remaining competitive where relevant.

i) Evidence & Insight – having and using robust evidence and insight will be fundamental over the medium term. From robust in-year budget monitoring, identifying, and managing core cost drivers, to understanding how our costs compare to the level of services, evidence and insight will be key to managing the Council finances.

j) Supply chain and partners – the Council works with many commercial suppliers and trusted partners, such as the NHS. It is important the Council continues to maintain strong relationships with those that support us in meeting the needs of our citizens and residents and that they understand our financial position and constraints.

k) For suppliers, the Council's policy to support alignment with the London living Wage will be considered on a contract-by-contract basis, in consultation with the relevant Strategic Director and Portfolio Holder.

3.11. The table below sets out a summary of the medium-term financial plan to accompany the MTFS.

Medium Term Financial Plan (MTFP) Summary 2026-31	2026/27 Forecast £'m	2027/28 Forecast £'m	2028/29 Forecast £'m	2029/30 Forecast £'m	2030/31 Forecast £'m
Net Cost of Services	**239**	**265**	**309**	**337**	**362**
Changes to Prior Year Budget					
Pre-agreed Savings	(5)	(0)	0	0	0
Pre-agreed Growth	5	1	0	0	0
Central Inflation & Demographic	7	20	21	17	17
Invest to Save	(2)	(2)	(1)	0	0
New Savings	(2)	(0)	(0)	1	0
New Growth	21	12	9	7	8
Grants Rolled in to RSG (income removed from services	5	13			
Reallocation of Core Grant direct to the service	(2)				
Net Budget Requirement	**265**	**309**	**337**	**362**	**387**
Core Funding					
Revenue Support Grant	(65)	(95)	(111)	(114)	(116)
Business Rates Baseline Funding	(32)	(98)	(100)	(102)	(104)
Business Rates To Up	(64)				
Recovery Grant	(7)	(7)	(7)		
Collection Fund (Surplus)/Deficit	(1)				
Council Tax	(97)	(104)	(111)	(119)	(127)
Total Core Funding	**(265)**	**(303)**	**(329)**	**(334)**	**(347)**
Cumulative Budget Deficit/(Surplus)	**0.0**	**5.7**	**13.8**	**41.7**	**82.4**

3.12. As can be seen from the table, the Council has achieved a balanced budget for 2026/27. However, there is a budget gap of £5.7m for 2027/28, and this increases cumulatively to £82.4m by the end of the MTFP in 2030/31. At current service models and cost levels, the Council's financial position will be unsustainable over the MTFP period. Incremental or "salami slicing" savings will no longer be sufficient to close the gap. A more robust, strategic, and transformative programme of change must be developed and adopted to deliver a sustainable long-term budget.

3.13. Although Council Tax provides much-needed additional income, it is insufficient to bridge the funding gap beyond requiring a referendum as laid down in legislation.

3.14. The Council is looking at an asset rationalisation programme but would need to be satisfied that this would generate sufficient capital receipts, otherwise the Council would need to borrow to fund the Capital programme.

3.15. Whilst the budget for next year and the MTFS is based on known available information at the time of setting the budget, there are inherently several estimations and assumptions which are applied in the financial forecasts. Examples are estimates of inflation and base interest rates. Such variables remain subject to change and will continue to be monitored closely given their potential impact on the Council's financial position.

3.16. There will always be an element of judgement in the estimation of these variables, and the Council uses the services of professional advisors where expert skills are needed and/or historic trend analysis. It is possible that these estimates may prove to be inaccurate, but this is an inherent risk in financial forecasting.

3.17. The table below provides details of these assumptions and estimations that have been used in formulating the Council's budget for next year and the overarching MTFS.

Item	2026/27	2027/28	2028/29	2029/30	2030/31	Explanation
Expenditure						
Pay award	3.00%	3.00%	3.00%	3.00%	3.00%	This reflects the net agreed average increase across all pay grades in 2025/26 with similar pressure on pay expected in future years.
Employers National Insurance	15.00%	15.00%	15.00%	15.00%	15.00%	Assumed will remain consistent with 2025/26
Employers Pension Contributions (payroll rate)	18.00%	18.00%	18.00%	18.00%	18.00%	Updated to reflect the results of the actuary review
Interest Cost	4.3%	4.1%	4.1%	4.1%	4.1%	This reflects the current rates model for future Council borrowing
Funding						
Council Tax						
Council tax (after council tax reduction scheme)	97,105	103,785	110,926	118,557	126,714	
Increase in CT Base	1.8%	1.8%	1.8%	1.8%	1.8%	
Budgeted collection rate (%)	95.0%	95.0%	95.0%	95.0%	95.0%	
Band D (%) (Including adult social care precept)	4.99%	4.99%	4.99%	4.99%	4.99%	

4. Sensitivity analysis

4.1. As highlighted in the MTFS, where estimates are used in financial forecasting it is deemed good practice to carry out sensitivity analysis of the key variables within the proposed budgets to understand what the financial impact could be of different scenarios in reality. The table below demonstrates what the impact of alternative scenarios would be on the Council's budget gap for 2026/27.

Risk	Financial Impact	Likelihood
Pay Inflation – Although inflation has stabilised, it remains above the Bank of England's 2% target. If inflation exceeds the assumptions built into the Council's budget, this would create additional cost pressures that may not be fully funded.	Total provision in the Council's budget for pay is £4.1m. This represents an estimate of a 3% pay award for 2026/27. If this were to increase or decrease by 1% the financial impact would be an increase in budget requirement of £1.4m and a decrease in budget requirement of £1.4m based on known staffing structures at this time.	It is difficult to predict with certainty where inflation will end up during 2026/27. However, over the past 12 months it has reduced, and the government's target is for this to be c2%
Council's borrowing costs -	The sensitivity analysis indicates that borrowing-cost risk remains low due to the reliance on fixed-rate debt, which insulates the organisation from interest-rate volatility. However, if circumstances required a shift toward greater short-term or variable-rate borrowing, fluctuations in market rates could materially increase, or potentially decrease, overall financing costs.	This risk is being managed through a revised Borrowing Strategy formulated in collaboration with the Council's external treasury advisors.
Council tax	A 1% increase in Council Tax would generate an additional £0.97m and a 1% decrease would reduce funding by £0.97m.	

5. Funding

5.1. The Council has five main sources of funding although only the last two sources are within the Council's direct control:

- Central Government and other grants
- Council Tax
- Business Rates
- Fees & Charges
- Reserves

5.2. Each year the Local Government Finance Settlement is announced with the provisional settlement usually announced after the Autumn Statement before Christmas (to allow for consultation) and the final settlement towards the end of January or early February.

5.3. The provisional 2026/27 Local Government Finance Settlement was published on 17 December 2025 and the Final Settlement was published on 9 February 2026.

6. Local Government Finance Settlement

6.1. It is widely acknowledged that the funding of local authorities was in radical, urgent need of reform. As part of this, fair funding is also needed to reflect the borough's significantly higher population and increased needs. Government has introduced major reforms to make funding fairer, simpler, and more reflective of local need. The new distribution model uses formulas to assess relative need and local revenue raising capacity.

6.2. In recent years, Government has issued single year settlements, creating uncertainty for medium-term planning. However, following the national funding reforms, the Provisional Local Government Finance Settlement (PLGFS) for 2026/27 provided, for the first time in several years, a three-year indicative settlement covering the period 2026/27 to 2028/29.

6.3. The 2026/27 PLGFS was published on 17 December 2025 and the Final Settlement on 9 February 2026. Overall Core Spending Power (CSP) will increase by 5.7% across England.

6.4. The PLGFS incorporates the results of the Funding Reform and the Fair Funding Review 2.0:

6.4.1. **Resetting the business rates retention system** - The government has confirmed that the national business rates retention system will be reset from 2026/27, following the Fair Funding Review. This reset is intended to rebalance the system, ensuring funding more accurately reflects current levels of need while still recognising areas that have achieved genuine business rates growth. All business rates currently retained by local government will continue to be retained after the reset. However, distribution will shift to reflect new relative need shares, except where bespoke arrangements apply. New Baseline Funding Levels (BFLs) and Business Rates Baselines (BRBs) will together determine revised top-up and tariff positions for every authority from 2026/27.

6.4.2. **Distribution of Revenue Support Grant (RSG)** - The government intends to use the RSG as the main mechanism for phasing in the new 2028/29 fair funding shares over the multi-year Settlement. RSG allocations will shift each year, by roughly one-third increments, to move authorities from their current funding position to their assessed fair funding level. This phasing takes account of the 2026/27 business rates reset and the continuation of the Better Care Grant, with full alignment achieved by 2028/29. This means the Council's RSG will change annually as legacy funding is gradually removed.

6.4.3. **Consolidation of funding streams into the RSG** – The government will consolidate 18 separate grants into Revenue Support Grant from 2026/27, simplifying the system and phasing these resources into the new fair funding shares over the multi-year Settlement. This brings major social care, housing, and legacy grants into a single funding mechanism, while protecting a small number of specialist grants and keeping the Better Care Grant paid separately.

6.5. The overall Core Spending power across London will increase by 5.6% and for Barking & Dagenham it will increase by 11.5%. While this uplift is welcomed and makes a meaningful contribution toward closing the 2026/27 budget gap, it does not

compensate for the substantial reduction in funding the Council has faced over the past 15 years. Based on pre-2010 funding trajectories, the Council's core funding is estimated to be 30–40% lower in real terms, leaving Barking & Dagenham tens of millions of pounds short of the level it might otherwise have received.

6.6. PLGFS provided detailed draft allocations of funding which had been provided in the Autumn Statement at a national level. Key highlights from the PLGFS for local authorities are:

Core Funding:

a) **Council Tax** - Council tax referendum limit will be 4.99% for local authorities (inclusive of the adult social care precept).
b) **Settlement Funding Assessment** – Government issued it's first multi-year settlement since 2016/17, providing more planning certainty
c) **Funding Reform** and Fair Funding Review 2.0 – both detailed above.
d) **Core Spending Power (CSP) Growth** – Nationally across England there was a 5.7% increase in CSP.

6.7. The key implications of the LGFS for Barking and Dagenham are set out in the table below which shows the changes in funding estimates assumed in the draft budget published in December 2025.

Change from Draft Budget Report to Final Budget

	Draft Budget 2026/27 (Dec 2025)	PLGFS 2026/27	Final Budget 2026/27	(Increase)/ Decrease in Funding (Draft Budget to PLGFS)	(Increase)/ Decrease in Funding (PLGFS to Final Budget)	Total (Increase)/ Decrease in Funding
	£m	£m	£m	£m	£m	£m
Revenue Support Grant	(146)	(65)	(65)	82	0	82
Business Rates Baseline Funding		(32)	(32)	(32)	0	(32)
Business Rates To Up		(64)	(64)	(64)	0	(64)
Recovery Grant		(7)	(7)	(7)	0	(7)
Collection Fund (Surplus)/Deficit			(1)	0	(1)	(1)
Council Tax	(100)	(101)	(97)	(2)	4	3
Total Core Funding	**(246)**	**(269)**	**(265)**	**(22)**	**3**	**(19)**

To note:

Collection Fund (Surplus)/Deficit – The Collection Fund (surplus)/deficit arises when the Council collects more/less council tax and business rates than it originally anticipated. The Council's share of this (surplus)/deficit is then built into the Budget, increasing/decreasing the level of core funding available to support local services.

Council Tax - At the time of preparing the initial reports for December 2025, the Council Tax base had not been calculated and estimates were being based on the 2025/26 tax base.

The calculation of the 2026/27 council tax base resulted in the decrease in Council Tax Base by 1.07% (which is 620 band D equivalent properties) when compared to 2025/26.

Recovery Grant - The Recovery Grant, originally expected to be a one-off measure while government progressed funding reform, has been confirmed within the Provisional Local Government Finance Settlement (PLGFS) for 2026/27 and incorporated into the Medium-Term Financial Plan (MTFP). Although now included for the full three-year settlement to 2028/29, it remains prudent not to assume its continuation beyond this period, and therefore no Recovery Grant income has been built into the funding forecasts for years 4 and 5 of the MTFP.

7. Council Tax

7.1. The statutory calculations of the proposed Council Tax for each property band and the formal Council resolutions required under the 1992 Local Government Finance Act are presented for approval.

7.2. In light of the uncertainty around Council Tax collection rates with the cost-of-living crisis and the ongoing impacts of high inflation, modest growth of 1.8% each year in property growth, is being forecast for the future years in the MTFS period. This growth should be achievable and reduces the risk of setting council tax income targets which could prove unachievable leading to material deficits on the Collection Fund.

7.3. The Council Tax Base is the number of properties in Bands A-H in the borough expressed as an equivalent number of Band D units. At its meeting on 20 January 2026, Cabinet approved the 2026/27 Council Tax Base, calculated according to the relevant procedures and guidance, at 57,526.52 Band D equivalent properties. This being the gross tax base of 60,497.93 less a 5% bad debt provision.

7.4. The Council proposes to increase Council Tax by 4.99%. This includes 2.99% for general spending and a further 2% that is specifically ringfenced as an adult social care precept. This will increase the level of Council Tax from £1,607.76 to £1,687.99 (an increase of £80.23) for a Band D property.

7.5. The Mayor of London is proposing to increase the Greater London Authority (GLA) element of Council Tax by £20.13 (4.1%) for a Band D property, increasing the charge from £490.38 to £510.51.

7.6. The combined amount payable for a Band D property will therefore be £2,198.50 for 2026/27, compared to £2,098.14 in 2025/26. This is a total increase of £100.36. The Council continues to provide a Council Tax Support Scheme in order to increase support for local residents on the lowest incomes.

7.7. The full breakdown of 2026/27 Council Tax by band is as follows:

	A	B	C	D	E	F	G	H
LBBD Council Tax	1,125.32	1,312.88	1,500.43	1,687.99	2,063.10	2,438.20	2,813.31	3,375.97
GLA Precept	340.34	397.06	453.79	510.51	623.96	737.40	850.85	1,021.02
Total Council Tax	1,465.66	1,709.94	1,954.22	2,198.50	2,687.06	3,175.60	3,664.16	4,396.99

8. Business Rates

8.1. From April 2026, the national Business Rates system for England will undergo its most significant change since the 2017 and 2023 revaluations. This includes a new five-tier multiplier system, the end of temporary Retail, Hospitality and Leisure (RHL) relief, and the introduction of permanently lower RHL multipliers, alongside updated Rateable Values (RV) under the 2026 revaluation.

8.2. RVs are determined based on the rental value of a property and reviewed every three years by the Valuation Office Agency. These values form the basis for calculating Business Rates.

8.3. New Multiplier System

8.3.1. The current two-tier system (small business and standard multipliers) will be replaced by five multipliers, designed to reflect both property types and value. This change is designed to provide permanent support for RHL properties through lower multipliers and shifts more of the overall tax burden onto high-value hereditaments with RVs above £500k.

8.3.2. In LBBD, although most businesses fall within the small-business category, around 40% of the borough's total 2026/27 rates liability will come from properties above £500k RV, meaning the new high-value multiplier has a significant local impact.

8.3.3. The table below sets out the five multipliers applying nationally from 1 April 2026.

Multiplier type	RV limit	2026/27 Multiplier
Small RHL Multiplier	Less than £51,000	38.2p
Small Business Multiplier (all other properties)		43.2p
Standard RHL Multiplier	Between £51,000 and £499,999	43.0p
Standard Multiplier (all other properties)		48.0p
Higher Multiplier (All properties)	£500k and above	50.8p

8.3.4. Under the existing system, properties with an RV below £51k use the Small Business Multiplier (49.9p), and those above use the Standard Multiplier (55.5p). For example, a property with an RV of £20,000 currently pays £9,980 using the 49.9p multiplier. Using this system, LBBD's total business rates liability is £210.5m.

8.3.5. Summary of impacts under the new 2026 multipliers, is set out in the table below.

Multiplier type as at 1 April 2026	Properties	RV	Charge
Small RHL Multiplier	1,359	£23,454,021	£8,959,436
Small Business Multiplier (all other properties)	2,419	£30,303,460	£13,091,095
Standard RHL Multiplier	176	£21,808,650	£9,377,720
Standard Multiplier (all other properties)	541	£78,377,000	£37,620,960
Higher Multiplier (All properties)	75	£92,510,500	£46,995,334
Totals	**4,570**	**£246,453,631**	**£116,044,544**

8.4. The introduction of the new multiplier system, alongside the 2026 revaluation, has increased the total business rates liability in LBBD from £210.5m to £246.4m.

8.5. **Reliefs, Protections and Transitional Arrangements**

8.5.1. In 2024/25, RHL businesses received a 75% relief, which was subsequently reduced to 40% in 2025/26. This relief ends in 2026/27 and is replaced by the new RHL multipliers. Although 83% of LBBD businesses currently fall under the small business multiplier category, 40% of the total business rates due in 2026/27 will come from properties with RVs above £500k due to the new high-value multiplier.

8.5.2. A Transitional Relief scheme will operate from 2026/27, phasing in increases for properties affected by higher liabilities following revaluation. This protection is tapered over the following two years, until the next revaluation in 2029.

8.5.3. A new Supporting Small Business Relief scheme will protect businesses that face significant increases due to the removal of RHL relief or other previous reliefs.

8.5.4. Mandatory Charitable Relief offers an 80% reduction for eligible registered charities, community amateur sports clubs, and organisations operating for philanthropic purposes. A further 20% discretionary relief may be awarded by the Council where the organisation meets the Council's criteria. This discretionary element is part-funded by Central Government and the GLA, with the Council contributing 30%.

8.5.5. On 27 January 2026, the Government announced a new 15% business rates relief for eligible pubs and live music venues for 2026/27. In LBBD, 28 pubs and one live music venue are expected to qualify for this support.

8.6. **Freeport**

8.6.1. The former Ford site was designated as a Freeport in 2021. New qualifying businesses receive relocating to the site are eligible for a range of tax incentives, including a 100% reduction in Business Rates for five years, fully funded by Central Government.

8.6.2. Edward Davies Commercial Ltd, operating within the Freeport boundary, has been identified to receive a 100% reduction on their Business Rates liability for 2026/27.

9. Business Rate Pool

9.1. The business rates reset fundamentally changes the financial landscape for authorities participating in business rates pools. Once the reset takes effect, the growth generated locally will be removed from the system, meaning the financial advantage previously gained through pooling arrangements will no longer materialise. Given this shift, remaining in a pool is no longer financially beneficial or strategically justified. Therefore, the Council will not continue in a business rates pool from 2026/27 onwards. This position ensures that our financial planning reflects the new national framework and avoids the administrative burden of a pooling arrangement that no longer provides value.

10. Fees and Charges 2026/27

10.1. The Fees & Charges 2026/27 report was presented to and approved by the Cabinet on 16 February 2026. The report set out the proposed fees and charges increases to apply from 1 April 2026.

10.2. It is evident that ongoing work is required to ensure that any charges or fee income is made on a full-cost recovery basis. This is a complex piece of work which needs to take account of any relevant market for fees, demand for those services and the changing costs of the Council's base budgets.

10.3. In practice, the presumption is that the Council will use inflation as an indicator of how much fees and charges should rise and this is the default position. The August CPI figure is used each year for consistency, in 2025 this was 3.8% and in most cases fees and charges has increased by this, except for where a statutory or mandatory fee is imposed, or another service driven decision has been made, including benchmarking to ensure that the Council's fees and charges are in line with neighbouring Councils or other local providers, and analysis of costs incurred to ensure full cost recovery.

11. General Fund Revenue Budget for 2026/27

11.1. An incremental approach has been adopted for setting the 2026/27 budget, whereby the previous year's budgets are rolled forward and adjusted to reflect growth pressures and planned savings. While this is a commonly used method, it carries the risk that any historic assumptions may require further refinement. To mitigate this, zero-based budgeting exercises were undertaken during 2025/26 across selected services to provide greater assurance over the robustness of underlying budget assumptions. Zero-based budgeting offers a valuable opportunity to identify legacy or outdated budget assumptions and ensure resources are aligned to current service needs. However, given the significant time and analytical effort required to apply this approach effectively, it will be introduced gradually over the coming years as part of a phased enhancement of our financial planning framework. The table below is a summary by directorate; full details of the Savings and Growth included can be found in Appendix B.

	Base Budget 2026/27 £m	Growth & Inflation £m	Savings (Including Invest to Save) £m	Grants Rolled-in £m	Proposed Budget 2026/27 £m	Growth to be held Centrally £m	Original Budget 2026/27 £m
PEOPLE & RESILIENCE	143	15	(6)	(1)	152	(12)	139
RESOURCES	25	2	0	0	27	(1)	26
WORKFORCE CHANGE	3	0	(0)	0	3		3
STRATEGY	7	0	(0)	0	7		7
INCLUSIVE GROWTH	1	0	(0)	0	1		1
HOUSING, ENVIRONMENT & COMMUNITIES	14	1	(3)	4	17		17
SUBTOTAL - DIRECTORATES	193	19	(9)	3	206	(13)	193
CORPORATE ITEMS	45	14			59	13	73
TOTAL	**239**	**33**	**(9)**	**3**	**265**	**0**	**265**

11.2. Following the updated MTFS and Budget Strategy presented to Cabinet in August 2025, a budget gap of £12.6m was identified for 2026/27. Quarter 2 monitoring for 2025/26 reported an £0.8m overspend, a significant improvement on the £17m overspend forecast at the same point in 2024/25. This demonstrates the impact of

ongoing work to mitigate pressures, strengthen cost control and ensure expenditure remains within the approved budget envelope.

11.3. The combination of the reviews and the financial settlement have reduced the gap and has enabled a balanced budget to be set for 2026/27.

11.4. For 2026/27, £15m of growth has been allocated to the People and Resilience Directorate. At this stage, £12m of this will be retained corporately, with the intention of releasing it as clearer evidence of need and actual costs emerges.

11.5. Financial modelling suggests that modest increases in demand and/or changes in need could lead to significant additional cost pressures. Market care providers were given an average increase of 5% for 2025/26 and, with inflation now falling, the Council will be holding a firm line in discussions with providers to minimise any further cost uplifts.

11.6. Growth bids were only be considered on a robust business case basis. Appendix B details the savings and growth proposals that have been included in the proposed budget for 2026/27.

11.7. It is to be noted, several growth bids, primarily relating to inflationary pressures and restructures designed to strengthen services, have been agreed in principle but are being held centrally. Release of these allocations will require robust evidence and confirmation of actual costs as they materialise and will not exceed the amounts agreed in principle. These bids will be subject to close monitoring and scrutiny prior to any release of funds. For transparency, these items are shown within the directorate's growth position and then adjusted to reflect the final budget.

11.8. Although central government funding has increased for 2026/27, the Council has identified that £32.8m of growth is required. Taking this into account, the Council has identified £8.7m of savings in order to achieve a balanced budget for 2026/27.

11.9. The table below shows the movement from the revised 2025/26 net budget to the proposed 2026/27 net budget.

	Revised Budget (P09)	Pre-agreed Growth	New Growth	Inflation	Pre-agreed Savings	New Savings	Invest-to-Save	Grants Rolled-in	Budget 2026/27
	£m	£m	£m	£m	£m	£m	£m	£m	£m
TOTAL COUNCIL	239	5	21	7	(5)	(2)	(2)	3	265

11.10. The £4m contingency previously held for People and Resilience will be consolidated into the Council's General Contingency. This contingency now represents approximately 3% of the net General Fund budget. Deployment of this funding will be subject to approval by the Section 151 Officer.

11.11. Details of the budget allocations across Directorates and Corporate budgets can be seen in the Summary by Directorate table in paragraph 11.1 above. This budget represents a £26.8m increase in net budget compared to 2025/26 and continues to show the Council's commitment to supporting its community.

11.12. The Public Health allocation has been confirmed as £21.7m. The funding will be allocated to deliver the Council's Public Health priorities, in accordance with the terms and conditions of the grant and will be included in the base budget.

12. Savings

12.1. As outlined above, the Council has continued to prioritise the identification of efficiencies and cashable savings, resulting in £8.7m of savings being incorporated into the proposed 2026/27 General Fund budget.

12.2. Of the £8.7m savings identified, £1.8m relates to Invest-to-Save proposals. These initiatives remain in the development phase and their delivery will be subject to robust scrutiny, oversight, and assurance through the Change Board, ensuring that benefits are realised and financial assumptions are sound. Further details in are set out in section 14 of this report.

12.3. Councils like Barking and Dagenham with high levels of deprivation have faced rising demands for services because of growing poverty. At the same time, they have had to find significant savings as part of a squeeze on public finances.

12.4. For savings identified, it will be vitally important that these savings are delivered as planned. Whilst an assessment of the robustness of the savings has been undertaken as part of the budget setting process, some of the proposals do have inherent risk in their delivery and are dependent on significant service transformation and/or redesign.

12.5. The savings are broad, and they consider both pay as well as non-pay budgets. Appendix B details the range of savings across all Directorates with a summary of total savings per Directorate provided below. It is to be noted that Investment within the Resources Directorate results in a net growth - this is due to the corresponding savings of that investment being delivered within People and Resilience, reflecting the cross-cutting nature of the programme.

	Pre-agreed Savings	New Savings	Invest to Save	Total Savings	% of Savings against 2025/26 Budget
	£'000	£'000	£'000	£'000	%
PEOPLE & RESILIENCE	(3,690)	0	(2,235)	(5,925)	4%
RESOURCES	(124)	0	450	326	-1%
WORKFORCE CHANGE	(49)	0	0	(49)	2%
STRATEGY	(94)	(135)	0	(229)	3%
INCLUSIVE GROWTH	(19)	(29)	0	(47)	3%
HOUSING, ENVIRONMENT & COMMUNITIES	(537)	(2,258)	0	(2,794)	19%
Total Savings	(4,512)	(2,421)	(1,785)	(8,717)	31%

12.6. The savings proposals have been developed by services and form part of the Council's Service plans for the forthcoming financial year. The delivery of agreed savings is essential to deliver a balanced budget for 2026/27 and beyond.

12.7. The Executive Management Team, chaired by the Chief Executive, will closely monitor progress on the delivery of savings. Although already a constitutional requirement, Strategic Directors will be required to operate within their budget envelopes and deliver alternative savings should planned savings prove undeliverable. Strategic Directors have been asked to formally sign-off their proposed budgets for 2026/27 in line with the principle above and have given assurance statements to this effect.

13. Growth

13.1. Any requests for growth have been subject to a challenge process and only accepted where this relates to an uncontrollable pressure within the 2026/27 base budgets or where growth has previously been agreed as part of a business approval. The table below is a summary of total growth per Directorate. Appendix B details the proposed growth items for the 2026/27 budget.

	Pre-agreed Growth	New Growth	Inflation	Total Growth
	£'000	£'000	£'000	£'000
PEOPLE & RESILIENCE	96	15,175		15,271
RESOURCES	0	1,960		1,960
WORKFORCE CHANGE	0	0		0
STRATEGY	(200)	217		17
INCLUSIVE GROWTH	(32)	50		18
HOUSING, ENVIRONMENT & COMMUNITIES	956	500		1,456
CORPORATE ITEMS	4,200	2,913	6,930	14,043
Total Growth	5,020	20,816	6,930	32,766

13.2. In 2025/26, the average social care market provider uplift was 5%. Given the challenges of affordability and with inflation forecasted to be lower, the Council will be holding a robust position in negotiations with its third-party providers.

13.3. An allowance of 3% growth for 2026/27 pay award has been included in the budget proposals.

14. Invest to Save

14.1. As part of the Council's commitment to securing the long-term sustainability of its finances, Invest to Save initiatives are being actively advanced as a key mechanism for delivering recurring savings. These initiatives focus on redesigning processes, improving efficiency and modernising service delivery, enabling the Council to reduce costs without diminishing the quality or availability of services.

14.2. A range of Invest to Save proposals has been developed and incorporated into the 2026/27 MTFS. The full estimated savings and associated growth from these proposals have been built into the financial plan, and robust monitoring will be essential to ensure that the anticipated benefits are delivered. This oversight is

critical to safeguarding the Council from additional financial pressure should the expected savings not materialise.

14.3. The table below summarises the Directorate-level impact of the Invest to Save initiatives. Investment within the Resources Directorate delivers corresponding savings within People and Resilience, reflecting the cross-cutting nature of the programme. Appendix B sets out the proposed Invest to Save initiatives for inclusion in the 2026/27 budget.

	Initial Investment £'000	Total Savings £'000	Net Investment / (Savings) £'000
PEOPLE & RESILIENCE	1,362	(3,596)	(2,235)
RESOURCES	450	0	450
WORKFORCE CHANGE	0	0	0
STRATEGY	0	0	0
INCLUSIVE GROWTH	0	0	0
HOUSING, ENVIRONMENT & COMMUNITIES	0	0	0
CORPORATE ITEMS	0	0	0
Total Growth / (Savings)	1,812	(3,596)	(1,785)

15. Investment and Acquisition Strategy (IAS)

15.1. The IAS is the strategy which underpins the Council's investment in commercial and residential assets predominantly to facilitate regeneration in the borough and provide new housing supply. The Council does this through direct acquisition of commercial properties and the construction of residential units both of which are overseen by its regeneration subsidiary Be First.

15.2. Under the approved arrangements, at practical completion, legal interest in the residential units passes to the Council's subsidiary group Reside under a lease/loan agreement. The loan equals the construction costs less any grant or right-to-buy receipts for affordable units and the interest rate charged should always be higher than the rate the Council pays for the borrowing in line with on-lending rules.

15.3. The loan agreement ensures that the Reside Group pays to the Council both the required interest payable and an element of loan principal. This amount is in line with the Council's MRP charges that it incurs in the General Fund relating to the borrowing for the on-lending. Any overall scheme surpluses, after deduction of allowable costs within the Reside Group, are also returned to the Council.

15.4. The costs of any commercial investment property acquisition and the costs of construction for the residential schemes are an integral part of the Council's Capital Strategy and proposed capital programme, set out below.

15.5. The proposed MTFS capital programme includes the cost of completing those schemes which are currently under construction, and the associated borrowing to fund those schemes.

15.6. The details of the IAS forecasts are reported in the Treasury Management Strategy Statement (TMSS) which is a separate agenda item. The budgetary implications for

the Council's General Fund have been included within the proposed 2026/27 budgets. The table below summarises the proposed IAS budgets embedded within the budget proposals.

General Fund & IAS Borrowing Cost Budgets

	Budget 2025/26 £'000	Growth £'000	Budget 2026/27 £'000
Central Expenses			
Interest Payable	7,241	1,974	9,215
BDP Provision	1,636	(855)	781
Interest Receivable	(4,803)	(99)	(4,902)
MRP	10,354	2,400	12,754
Sub Total	14,428	3,420	17,848
IAS			
IAS Commercial	(5,908)	(1,057)	(6,965)
IAS Residential	(7,040)	(3,148)	(10,188)
Property Charges Income	(600)	600	0
Interest Payable	31,209	1,441	32,651
Capitalisation of Interest	(13,461)	8,791	(4,670)
Interest Receivable	(12,058)	(4,910)	(16,968)
Costs	49	1,457	1,507
MRP	3,110	517	3,627
Sub Total	(4,699)	3,692	(1,006)
Total	**9,729**	**7,113**	**16,842**

15.7. As can be seen from the table, the IAS is budgeted to make a £1m income contribution to the Council's General Fund which represents a reduction of £3.7m compared to the 2025/26 position. However, for schemes that are due to complete over the next 2-3 years, further cost burdens could materialise should the Council be unable to secure interest rates at the required scheme viability rate, or if properties are unnecessarily void and/or scheme costs increase.

15.8. Over the last few years, the Council has created a more interventionist local housing model delivered through its subsidiary companies. Reside is the council's wholly owned housing management company that lets, manages, and maintains homes built by Be First and those acquired from third party developers. This is at the heart of the Council's ambition to support people to live in modern affordable homes and is set against the backdrop of a national housing crisis. The Council has encountered a number of problems with the handover processes at practical completion and the letting of new properties, particularly the market rent tenure. This has caused a loss of income to the IAS. Officers have been working with subsidiary entities to improve the handover and letting processes. As part of holding our subsidiaries to account, it will be important going forward that voids are minimised to avoid loss of income both for schemes under operation and those completing in the future.

15.9. For schemes already completed and financed, any loss of income impacts on the ability for Reside to provide the cashflows to meet the interest and principal payments. As highlighted above, for schemes under construction interest rates are not currently fixed and are subject to an effective borrowing strategy to ensure that schemes remain viable. Any unnecessary delays in letting completed properties will add additional burdens to the ability to meet the future lease payments and or return scheme surpluses.

15.10. A review of the IAS was completed in autumn 2024 which highlighted operational and governance arrangements that need to be resolved before the portfolio can start to generate the target surplus. A key part of this relates to the execution of loans and leases with Reside which will allow the lettings and sales of completed housing stock. Work has commenced on addressing the recommendations from the review.

16. 2025/26 General Fund Revenue Budget and Capital position at Period 9

16.1. General Fund Revenue Budget Quarter 3 Forecast

16.1.1. At Quarter 3, the Council is forecasting a £2.8m overspend on the General Fund, an increase of £2.0m from Quarter 2. The change in forecast is driven predominantly by significant pressures within People & Resilience (P&R), partly offset by improvements in Homes, Environment and Communities (HEC) and the release of a £4m corporate contingency. The table below shows the high-level summary by Directorate.

16.1.2. As highlighted by Grant Thornton, the Council's reduced reserve levels underline the importance of achieving a breakeven outturn to avoid further unsustainable drawdown of reserves. Forecast risks remain, particularly in demand-led services such as social care, where costs can fluctuate significantly due to changes in activity and case complexity. Continued tight financial management is therefore essential to maintain resilience.

16.1.3. It is also important to bear in mind that the provisional outturn (Month 12) report will not be presented to Cabinet until late Spring, at which point the final financial position for 2025/26 will be confirmed. Until then, all forecasts remain subject to change, particularly in areas experiencing high volatility.

	Revised Budget £'m	Actuals/Forecast £'m		Variance before Mitigations £'m	Mitigations £'m		Variance after Mitigations (£m)		
		YTD Actuals (+ GRNI)	Current Forecast		Forecast Management Actions	Net Movement in Reserves	Period 9 / Quarter 3 Variance	Period 6 / Quarter 2 variance	Movement from P6 / Quarter 2
PEOPLE AND RESILIENCE	143.0	121.6	152.4	9.3		(1.6)	7.7		7.7
RESOURCES	24.8	37.3	26.4	1.6		(2.5)	(.8)	(.6)	(.3)
HR & OD	2.6	2.5	2.3	(.3)			(.3)	(.3)	
STRATEGY	7.2	7.2	7.3			(.1)	(.1)	(.1)	
INCLUSIVE GROWTH	1.4	2.0	1.6	.1		(.2)			
HOUSING, ENVIRONMENT & COMMUNITIES	14.4	43.5	9.6	(4.8)		4.7		1.3	(1.4)
SUB-TOTAL DIRECTORATES	**193.5**	**214.1**	**199.5**	**6.1**		**.4**	**6.4**	**.4**	**6.0**
CENTRAL EXPENSES	18.4		14.4	(4.0)			(4.0)		(4.0)
TREASURY MANAGEMENT	4.1	10.4	5.1	1.0		(1.0)			
MRP	10.4		10.4						
LEVIES PAID	17.0	11.7	17.0						
SUB-TOTAL CORPORATE EXPENSES	**49.9**	**22.2**	**46.9**	**(3.0)**		**(1.0)**	**(4.0)**		**(4.0)**
GENERAL FUND I&E (EXC. IAS)	**243.4**	**236.3**	**246.5**	**3.1**		**(.6)**	**2.4**	**.4**	**2.0**
IAS COMMERCIAL (NET OPERATING RETURN)	(5.9)	(1.5)	(6.4)	(.5)			(.5)		(.5)
IAS RESIDENTIAL (RESIDE SCHEME SURPLUS)	(7.0)		(2.8)	4.2			4.2		4.2
PROPERTY CHARGES INCOME	(.6)		(.6)						
IAS INTEREST RECEIVED	(13.5)		(13.2)	.3			.3	1.0	(.7)
IAS FINANCING COSTS	22.3	3.6	26.6	4.3		(8.3)	(4.0)	(1.0)	(3.0)
SUB-TOTAL IAS	**(4.7)**	**2.1**	**3.6**	**8.3**		**(8.3)**			
GENERAL FUND I&E	**238.7**	**238.4**	**250.1**	**11.4**		**(8.9)**	**2.4**	**.4**	**2.0**
REVENUE SUPPORT GRANT	(22.7)		(22.7)						
TOP-UP GRANT	(39.1)	(14.1)	(39.1)						
OTHER GOVERNMENT GRANTS	(58.7)	(29.4)	(58.7)						
COUNCIL TAX PRECEPT	(93.5)		(93.5)						
BUSINESS RATES	(24.1)		(24.1)						
COLLECTION FUND	.6		.6						
BRR POOLING	(1.2)	(14.8)	(.8)	.4			.4	.4	
TOTAL CORE FUNDING	**(238.7)**	**(58.3)**	**(238.3)**	**.4**			**.4**	**.4**	
NET GENERAL FUND I&E	**.0**	**180.1**	**11.7**	**11.7**		**(8.9)**	**2.8**	**.8**	**2.0**

P&R key movement since Quarter 2 (exception-based):

16.1.4. The directorate is forecasting a £7.7m overspend at Quarter 3, compared with a breakeven position at Quarter 2 (including management actions) after applying £1.6m of reserves. This represents a 5.4% overspend against a budget of £143m.

16.1.5. The overspend reflects previously reported service pressures, driven by a combination of increased demand, greater complexity of need, and cost pressures across both Adults' and Children's services. The Directorate continues to implement measures to reduce in-year expenditure and realign activity with the approved budget, while ensuring that services are maintained and the Council continues to meet all statutory duties.

16.1.6. A corporately held contingency of £4m, earmarked specifically to address pressures in P&R has been recognised in Quarter 3 (and shows as a £4m underspend in Corporate Items) partially offset the pressure.

16.1.7. The financial challenges facing P&R in the current financial year are expected to persist, and potentially intensify, over the coming period. As such, they are highly relevant to assessing the robustness of the 2026/27 budget.

16.1.8. The key drivers remain as:

- Adults Care & Support: A £4.9m pressure driven by increased demand, greater complexity of need, inflationary and market-driven uplifts, and high-cost Learning Disability placements, some reaching £5k per week. Pressures are further exacerbated by delayed hospital discharges and wider NHS system strain, which continue to increase demand on local care provision.
- Children's Care & Support: A £2.7m pressure resulting from significant placement cost inflation, including a 46% increase in private residential placement costs, higher placement volumes (+49 children in care compared with 2024), and the partial delivery of MTFS savings. The combination of rising unit costs and increased demand continues to impact the budget position.

16.1.9. The associated risks remain broadly consistent with those reported at Quarter 2, although additional quantification is now available in several areas at Quarter 3, providing greater clarity on the scale of financial exposure. Key risks with quantified pressures are summarised below:

- Homecare Demand Growth: Demand for Homecare continues to rise faster than anticipated despite assumptions of reductions through reablement, contributing to a forecast £3m overspend at Period 9.
- Commissioning Savings Non-Delivery: £0.7m of commissioning savings will not be delivered, following a 50% reduction in NHS funding (ICBs and NHS England). In-year mitigations are being explored alongside a planned full review of the Commissioning Service.
- Transitions and Higher-Cost Care Types: Increased movement between care types, particularly from Direct Payments to more expensive Supported Living/LD arrangements has created additional financial pressure, including a net weekly increase of £4.2k, compounded by a rise in the Learning Disability cohort due to new arrivals in the borough.

16.1.10. The opportunities to mitigate demand and cost pressures remain broadly consistent with those reported at Quarter 2. However, the Directorate are now developing collaborative delivery models with partners in high-cost care areas and strengthening early-help pathways through expanded use of voluntary and faith-sector capacity. These developments reinforce the Directorate's focus on reducing long-term cost pressures and preventing escalation into more expensive statutory service.

HEC key movement since Quarter 2 (exception-based):

16.1.11. The directorate is now forecasting a marginal underspend of £0.04m at Quarter 3, representing a £1.3m favourable movement from the £1.3m overspend reported at Quarter 2. This shift reflects improvements emerging during Quarter 3 rather than changes in underlying pressures, which remain broadly consistent with those previously reported

16.1.12. The improvement is mainly driven by a reduction in Temporary Accommodation (TA) cost pressure, with Quarter 3 reflecting successful renegotiation of lower B&B rates, increased use of less expensive nightly-paid accommodation, and optimised hostel voids, reducing dependency on higher-cost placements. Collectively, these Quarter 3 interventions result in a £0.6m improvement within Housing Support compared with Quarter 2.

16.1.13. Income and staffing underspends have further strengthened the position, including additional Extended Producer Responsibility grant income, improved Parking and Street Cleansing income, and held vacancies in Public Realm services, providing mitigating benefit not reflected in the Quarter 2 forecast.

16.1.14. Reside-related pressures remain, particularly arising from the cessation of Property Management Agreements and unrecovered operating costs, though fully outweighed by the improvements achieved in Quarter 3.

16.1.15. Despite the favourable movement at Quarter 3, demand-driven pressures, particularly within TA continue to present financial risk, and will influence the directorate's resilience into 2026/27. Sustained focus on TA demand management, alignment of Reside-related costs, and sustainable income generation remains essential to maintaining stability as underlying pressures persist.

Corporate Items key movement since Quarter 2 (exception-based):

16.1.16. As set out above the £4m movement reflects the release of centrally held contingency in Quarter 3 partly offsetting the P&R Quarter 2 £7.7m pressure.

16.2. **Savings Progress**

16.2.1. Delivering the approved savings programme remains critical to achieving a balanced outturn and safeguarding the Council's financial resilience. At Quarter 3, £9.5m of savings have been delivered, with a further £4.7m on track. £1.9m is categorised as Off Track but is currently expected to be delivered following continued management intervention. The table below summarises the progress against 2025/26 savings programme at Quarter 3 by Directorate.

	Savings Tracker (£'m)					
Directorate	Complete	On track	Off track, in control	Off track, not in control	Unachievable	RAG rating
PEOPLE AND RESILIENCE	(4.3)	(.2)	(1.9)			AMBER
RESOURCES	(1.2)	(1.2)				GREEN
HR AND OD	(.2)					GREEN
STRATEGY	(.6)					GREEN
INCLUSIVE GROWTH		(.2)	(.1)			AMBER
HEC	(2.0)	(3.1)				GREEN
CORPORATE ITEMS	(1.3)	.0				GREEN
Total	(9.5)	(4.7)	(2.0)			(16.1)

16.3. Housing Revenue Account (HRA)

16.3.1. The HRA continues to forecast a breakeven position at Quarter 3, consistent with the position reported at Quarter 2. However, this is supported by a number of offsetting movements within income and expenditure lines that have emerged since Quarter 2.

16.3.2. The table below shows HRA summary as at Quarter 3.

	Revised Budget £'m	Actuals/Forecast £'m		Variance (£m)		
		2025/26 Actuals at P9	2025/26 Forecast at P9	Period 9 / Quarter 3 Variance	Period 6 / Quarter 2 variance	Movement from P6 / Quarter 2
SUPERVISION & MANAGEMENT	47.5	10.2	47.2	(0.2)	(0.9)	0.6
REPAIRS & MAINTENANCE	26.8	5.7	30.5	3.7	3.3	0.4
RENTS, RATES ETC	4.1		4.1	(0.0)	(0.0)	
INTEREST PAYABLE	11.0	5.3	11.0		0.2	(0.1)
DISREPAIR PROVISION	1.9		1.9			
BAD DEBT PROVISION (BDP)	3.3		2.0	(1.3)		(1.3)
CDC RECHARGE	1.1		1.1			
TOTAL EXPENDITURE	**95.6**	**21.2**	**97.8**	**2.2**	**2.6**	**(0.4)**
DWELLING RENTS	(97.1)	(73.7)	(98.1)	(1.0)	(1.1)	0.2
NON-DWELLING RENTS	(0.8)	(0.6)	(0.7)			
CHARGES FOR SERVICES & FACILITIES	(28.5)	(21.9)	(28.6)	(0.1)	0.2	(0.3)
INTEREST & INVESTMENT INCOME	(1.0)		(1.5)	(0.5)	(0.5)	
TOTAL INCOME	**(127.4)**	**(96.2)**	**(128.9)**	**(1.5)**	**(1.4)**	**(0.1)**
NET TOTAL BEFORE CAPITAL	**(31.7)**	**(75.0)**	**(31.1)**	**0.7**		**(0.5)**
DEPRECIATION	19.5		19.5			
TRANSFER TO MAJOR REPAIR RESERVE (MRR)	9.6		8.9	(0.7)	(1.1)	0.5
CAPITAL PROGRAMME FUNDING	**29.1**		**28.4**	**(0.7)**		**0.5**
NET TOTAL AFTER CAPITAL	**(2.7)**	**(75.0)**	**(2.7)**			
TRANSFER TO HRA LEASEHOLDER RESERVE	2.7		2.7			
TRANSFER FROM/(TO) HRA RESERVE						

16.3.3. Key movement since Quarter 2 (exception-based):

- Repairs & Maintenance overspend has increased by £0.4m since Quarter 2, reflecting updated Awaab's Law costs (£3m total of which £2.5m BDMS) and recognition of £0.1m of 2024/25 fleet costs.
- Interest & Investment Income underspend has increased by £0.5m since Quarter 2 due to higher reserve balances attracting interest.
- Leaseholder Service Charges have increased by £0.4m since Quarter 2 due to lower-than-expected 2024/25 actualisation.
- Major Repairs Reserve Transfer has increased by £0.5m since Quarter 2 to support the overall position.
- Bad Debt Provision requirement has been reduced by £1.3m following updated assessment.

- Supervision & Management costs have increased by £0.6m due to updated recharge forecasts and Neighbourhood Model business case costs.

16.3.4. While the overall breakeven position remains unchanged from Quarter 2, the shifts outlined above demonstrate ongoing volatility across Repairs and Maintenance, income actualisation and interest assumptions, all of which will require close monitoring through to year-end.

16.4. Dedicated Schools Grant (DSG)

16.4.1. The DSG forecast overspend has increased marginally from £3.0m at Quarter 2 to £3.1m at Quarter 3, with pressures continuing to fall entirely within the High Needs Block. The underlying drivers, growth in alternative resource provision (ARP) and special school places, increased home tuition demand, rising post-16 SEND activity and higher commissioned service costs remain consistent with those reported at Quarter 2, although Quarter 3 reflects slightly updated activity levels. The overall position remains largely unchanged, with a small £0.1m movement reflecting continued demand pressures.

16.4.2. The table below provide the DSG position as at Quarter 3.

	Budget 2025/26	Forecast Outturn	Variance (Surplus) / Deficit
	£'m	£'m	£'m
SCHOOLS BLOCK (ISB)	212.7	212.7	
CENTRAL SERVICES BLOCK	2.2	2.2	
HIGH NEEDS BLOCK	57.0	60.1	3.1
EARLY YEARS BLOCK	35.3	35.3	
	307.3	310.4	3.1
DSG RESERVE B/F			(1.2)
PROJECTED DSG DEFICIT			1.9

16.5. 2025/26 Capital Programme Monitor at Period 9

16.5.1 The capital budget has reduced from £231m at Period 6 to £196.1m at Period 9, mainly due to £33.7m of reprofiling into 2026/27.

- General Fund: £20.8m spent against a £44.1m budget; forecast £41m, giving a £3.1m underspend.
- HRA: £6.5m spent against a £30.6m budget; forecast £27.6m, a £3m underspend.
- IAS Residential & Commercial: £89.7m spent against £121.3m; forecast £117.9m, a £3.4m underspend.

16.5.2 Overall, £117m has been spent against a £196m revised budget, with forecast spend of £186.5m and a total projected underspend of £9.6m. The below table shows the Capital Programme 2025/26 as at Period 9

Strategic Function	Latest Budget 2025/26 £'m	Actuals P09 £'m	Forecast £'m	Forecast Variance £'m	Change in Variance £'m	Budget 2026/27 £'m	Budget 2027/28 £'m	Other Sources £'m	Borrowing £'m
CARE & SUPPORT	2.44	1.70	2.44		1.85	2.71		2.36	0.08
INCLUSIVE GROWTH	0.37	0.18	0.45	0.08	(0.33)	0.32		0.22	0.15
CIL	0.92	0.67	0.92			0.58		0.92	
TFL	6.53	1.46	6.53		(1.57)	0.28		6.53	
ICT	1.24	0.14	0.87	(0.37)	3.14	3.52		0.30	0.94
CULTURE & HERITAGE	1.64	0.51	1.64		0.42	0.44	0.03	1.53	0.12
ENFORCEMENT	0.16		0.16		0.66	0.66			0.16
MY PLACE	1.13	0.14	1.71	0.58	1.62	2.22		0.01	1.13
PUBLIC REALM	8.15	2.38	7.40	(0.75)	6.17	6.70		4.54	3.61
PARKS COMMISSIONING	2.19	0.43	1.54	(0.66)	0.75	2.67		1.35	0.85
CHILDREN'S SOCIAL CARE	0.41		0.41			5.87	4.52	0.41	
ED, YOUTH & CHILD	18.81	13.05	16.82	(1.99)	0.82	14.21		18.81	
SALIX	0.16	0.09	0.15	(0.01)	(0.04)				0.16
GENERAL FUND	**44.18**	**20.75**	**41.05**	**(3.13)**	**13.51**	**40.18**	**4.55**	**36.99**	**7.19**
STOCK INVESTMENT	19.34	4.44	19.34		(8.83)	53.12		19.34	
ESTATE RENEWAL	3.92	2.05	3.82	(0.10)	(0.10)	6.00			3.92
NEW BUILD SCHEMES	7.38	0.01	4.42	(2.96)				4.91	2.48
HRA TOTAL	**30.64**	**6.50**	**27.58**	**(3.06)**	**(8.93)**	**59.12**		**24.25**	**6.40**
IAS RESIDENTIAL	113.89	88.44	110.45	(3.44)		15.60	3.04	2.03	111.86
IAS COMMERCIAL	7.41	1.29	7.41			1.19		2.21	5.20
INVESTMENTS TOTAL	**121.30**	**89.72**	**117.86**	**(3.44)**		**16.79**	**3.04**	**4.24**	**117.06**
TOTAL	**196.12**	**116.98**	**186.49**	**(9.63)**	**4.57**	**116.09**	**7.59**	**65.48**	**130.65**

17. 2026/27-2027/28 Capital Programme including Investment and Acquisition Strategy (IAS)

17.1. 2026/27 to 2027/28 Capital Programme (including IAS)

17.1.1. The Council's current gross capital programme (excluding capital bids requiring approval) 2026/27 is £40.2m for the GF Services, £16.8m for the IAS strategy and £46.4m for the HRA. A total gross budget of £103.4m. With estimated financing totals £69m there is an estimated borrowing requirement for 2026/27 of £34.3m. The table below shows the current approved budgets and the capital bids for approval by service and fund type.

PROGRAMME BY COUNCIL FUND TYPE	Budget 2025/26 £000	Budget 2026/27 £000	Capital Bids Requiring Approval 2026/27 £000	Budget 2026/27 (incl. new schemes) £000	Budget 2027/28 £000	Capital Bids Requiring Approval 2027/28 £000	Budget 2027/28 (incl. new schemes) £000	TOTAL ALL YEARS £000	Borrowing £000	Other Sources £000
General Fund	**44,180**	**40,175**	**23,303**	**63,478**	**4,549**	**8,410**	**12,959**	**120,617**	**53,941**	**66,676**
HRA Total	**30,642**	**46,400**	**0**	**46,400**	**35,500**	**0**	**35,500**	**112,542**	**12,829**	**99,713**
IAS Total	**121,299**	**16,794**	**0**	**16,794**	**3,040**	**0**	**3,040**	**141,133**	**136,894**	**4,239**
Total	**196,121**	**103,369**	**23,303**	**126,672**	**43,089**	**8,410**	**51,499**	**374,292**	**203,665**	**170,627**
Financed By:										
Borrowing	131,015	34,334	22,814	57,148	7,642	7,860	15,502	203,665		
Capital Grants	41,049	22,752	0	22,752	1,697	0	1,697	65,498		
Revenue	3,112	2,031	39	2,070	0	0	0	5,181		
CIL/s106	1,887	3,544	0	3,544	0	0	0	5,431		
Capital Receipts	0	207	0	207	0	0	0	207		
HRA/MRR	19,058	40,501	450	40,951	33,750	550	34,300	94,309		
	196,121	**103,369**	**23,303**	**126,672**	**43,089**	**8,410**	**51,499**	**374,292**		

17.1.2. The Council's Indicative General Fund Capital Programme 2026/27 to 2027/28 is set out below. The capital programme is only set out for two years as currently there is no forecast spend agreed beyond 2027/28.

17.1.3. A detailed breakdown of the 2026/27 to 2027/28 capital programme including funding is set out in Appendix G. The capital spend in the appendix is also gross, with financing noted next to each scheme. Cabinet are asked to approve the updated 2025/26 programme and the proposed 2026/27 and 2027/28 capital budget.

Strategic Function	Budget 2025/26 £000	Budget 2026/27 £000	Capital Bids Requiring Approval 2026/27 £000	Budget 2026/27 (incl. new schemes) £000	Budget 2027/28 £000	Capital Bids Requiring Approval 2027/28 £000	Budget 2027/28 (incl. new schemes) £000	Budget 2028/29 £000	TOTAL ALL YEARS £000	Borrowing £000	Other Sources £000
Care & Support	2,445	2,706	300	3,006	0	300	300	0	5,751	0	5,751
Inclusive Growth	373	320	0	320	0	0	0	0	693	150	543
CIL	922	576	0	576	0	0	0	0	1,498	300	1,198
TFL	6,534	279	0	279	0	0	0	0	6,813	172	6,641
ICT	1,240	3,524	150	3,674	0	250	250	0	5,164	4,068	1,096
Culture & Heritage	1,644	439	0	439	29	0	29	0	2,112	610	1,502
Enforcement	155	660	1,948	2,608	0	0	0	0	2,763	2,064	699
My Place	1,133	2,216	1,500	3,716	0	1,500	1,500	0	6,349	6,342	7
Public Realm	8,152	6,698	19,405	26,103	0	6,360	6,360	0	40,615	33,255	7,360
Parks Commissioning	2,196	2,670	0	2,670	0	0	0	0	4,866	1,576	3,290
Children's Social Care	414	5,872	0	5,872	4,520	0	4,520		10,806	5,404	5,402
Education, Youth & Child	18,810	14,215	0	14,215	0	0	0	0	33,025	0	33,025
SALIX	162	0	0	0	0	0	0	0	162	0	162
General Fund	**44,180**	**40,175**	**23,303**	**63,478**	**4,549**	**8,410**	**12,959**	**0**	**120,617**	**53,941**	**66,676**
HRA STOCK INVESTMENT	19,340	40,400	0	40,400	35,500	0	35,500		95,240	120	95,120
HRA ESTATE RENEWAL	3,919	6,000	0	6,000	0	0	0		9,919	9,919	0
HRA NEW BUILD SCHEMES	7,383	0	0	0	0	0	0		7,383	2,790	4,593
HRA Total	**30,642**	**46,400**	**0**	**46,400**	**35,500**	**0**	**35,500**	**0**	**112,542**	**12,829**	**99,713**
				0							

IAS RESIDENTIAL	113,893	15,604	0	15,604	3,040	0	3,040	0	132,537	130,508	2,029
IAS COMMERCIAL	7,406	1,190	0	1,190	0	0	0	0	8,596	6,386	2,210
Investments Total	**121,299**	**16,794**	**0**	**16,794**	**3,040**	**0**	**3,040**	**0**	**141,133**	**136,894**	**4,239**
Total	**196,121**	**103,369**	**23,303**	**126,672**	**43,089**	**8,410**	**51,499**	**0**	**374,292**	**203,665**	**170,627**
Financed By:											
Borrowing	131,015	34,334	22,814	57,148	7,642	7,860	15,502	0	203,665		
Capital Grants	41,049	22,752	0	22,752	1,697	0	1,697	0	65,498		
Revenue	3,112	2,031	39	2,070	0	0	0	0	5,181		
CIL/s106	1,887	3,544	0	3,544	0	0	0	0	5,431		
Capital Receipts	0	207	0	207	0	0	0	0	207		
HRA/MRR	19,058	40,501	450	40,951	33,750	550	34,300	0	94,309		
	196,121	**103,369**	**23,303**	**126,672**	**43,089**	**8,410**	**51,499**	**0**	**374,292**		

17.1.4. The budgets do not include estimates of any slippage in budgets from 2025/26 into future years, and this will be amended as part of the 202/26 Outturn Report. There is the potential for additional capital receipts to be generated as part of a review of the Council's assets. Any capital receipt received could be used to reduce the Council's overall Capital Financing Requirement (CFR) depending on if the asset is held in the GF or the HRA.

17.1.5. A review of the bids received for 2026/27 was carried out by Assets and Capital Board and the S151 officer, and further clarification was requested for some of the bids, which was presented to the board in January 2026. The table below sets out the schemes Assets and Capital Board recommended for approval by Cabinet.

Scheme Title	2026-27 Bids £	2027-28 Bids £	Total Bids Requiring Approval £
Highways Asset Improvement Programme	5,000,000	5,000,000	**10,000,000**
Bridges and Structures	255,000	255,000	**510,000**
Flood Risk Prevention Asset Enhancements	250,000	250,000	**500,000**
Care Technology Service	300,000	300,000	**600,000**
Window replacement Project Budget - Eastbury Nursery	0	0	**0**
Lamp Column Replacement Programme	400,000	400,000	**800,000**
Eastbrookend Country Park - Discovery Centre: Floor Refurbishment	**0**	**0**	**0**
Parking Attended-Unattended CCTV	1,908,893	0	**1,908,893**
Parking Moped Replacement	38,880	0	**38,880**
Housing and Asset management systems - Legal; Decent Homes & Housing Regulator standards	150,000	250,000	**400,000**
Emergency Lighting Replacement Works	0	0	**0**
Valence Library Roof Replacement	0	0	**0**
Dagenham Library Lift Replacement	0	0	**0**
Fire Risk Assessment Remedial Works	0	0	**0**
Replacement/Enhancement of Resilience & Response Fleet & Equipment	500,000	0	**500,000**
Corporate Assets - Stock Condition Works	1,500,000	1,500,000	**3,000,000**
Strategic Essential Fleet Replacement	13,000,000	455,000	**13,455,000**
TOTAL	**23,302,773**	**8,410,000**	**31,712,773**

17.1.6. Bids for 2027/28 will be reviewed again as part of the 2027/28 budget-setting process to identify any additional funding sources to support the agreed bids and any potential savings once projects are further forward.

17.1.7. Capital budget for new capital schemes as internal funding available from non-ringfenced resources is already set aside for existing commitments. Other sources of funding include prudential borrowing, capital receipts (excluding HRA right to buy receipts) and revenue contributions from either budgets or earmarked reserves.

17.1.8. There has been very little in the way of previously accumulated General Fund capital receipts and so the main source of funding available to meet future capital demands is prudential borrowing for 2026/27. Any borrowing for the Council's core capital

programme will give rise to additional revenue borrowing costs (interest payable and MRP) except those that fall within the HRA.

17.1.9. Given the current pressures on the General Fund revenue budgets, it has therefore been necessary to limit any new capital schemes, which are not externally funded, to essential investment only.

17.1.10. The revised Capital Strategy (which is presented as an Appendix to the Treasury Management Strategy Statement, a separate agenda item) sets out the Council's strategic approach to its capital investment and underpins the proposed capital programme.

17.1.11. The Council's Capital Programme for 2026/27 and 2027/28 is set out in Appendix G.

18. Financial Risks

18.1. As highlighted throughout this report, the Council is facing material financial pressures which require careful management in setting its budget for 2026/27 and planning for the future to ensure that it is financial sustainable.

18.2. Due to funding constraints, the Council will always have a finite level of financial resources both for operational service delivery and investment in those services or assets. However, demand for services can be unpredictable and, more importantly, difficult to control.

18.3. The Council requires transformational change to operate within the proposed budget envelope and to ensure that it is financially sustainable over the medium to longer term.

18.4. There are key inherent risks that most London local authorities face in setting their budgets although the level of risks for each can be very different:

- Macro-economic factors - inflation, interest rates and supply chain problems
- National issues – recruitment of skilled staff (shortages across most professions)
- Demographic change: Barking & Dagenham has seen the fastest demographic change across the country
- Demand and complexity of need - adults and children's social care and SEND
- Demand - increase in numbers of statutory homelessness duty
- Funding not keeping pace with costs or demand
- Additional statutory duties but without increased burdens funding
- Insufficient funding for investment in services or assets
- Assumptions and estimates underpinning the budgets prove to be inaccurate
- Cost-of-living crisis impacting on citizens ability to pay their debts
- Rising responsibilities and expectation levels for local authorities across most sectors, including social care and housing.

18.5. The Council's Section 151 Officer must make a statement to accompany the proposed budgets that confirms their opinion on whether the Council's forecast reserves are adequate for the financial risks that the Council is facing. To assess this, effort should be made to quantify those risks.

18.6. Whilst Barking and Dagenham is exposed to all the inherent risks above, the key risks facing the Council over the MTFS period, together with an assessment of their financial impact, are:

- Transformational plans in children's and adults' services do not sufficiently impact on the management of demand or market challenges
- Borrowing requirement of c£500m not currently locked into fixed interest rates
- Reduced levels of usable reserves to cope with any future forecast overspends
- The review of the use of the Public Health Grant has now concluded and identified an estimated £1.8m repayment from the General Fund back to the Public Health Grant. It is currently anticipated that this pressure will be managed corporately over a three-year period beginning in 2026/27, either through contributions to the Public Health Reserve or by identifying eligible Public Health activities to offset the repayment. A detailed plan setting out the apportionment of the repayment across the period will be developed and agreed in due course.
- Ongoing monitoring is in place for around £7.3m of working capital loans to subsidiaries and approximately £7.2m of outstanding invoices, to ensure timely resolution and continued repayment performance and is included in the subsidiary business plans.
- Close oversight continues to be applied to subsidiary finances to ensure they meet their obligations, with ongoing monitoring in place to identify at an early stage whether any additional support may be required to manage creditor commitments.
- IAS schemes do not deliver sufficient financial returns to cover cost of borrowing imposing additional cost pressures on the General Fund
- IAS scheme land and property values insufficient to cover the borrowing in the event of a sale
- Financial performance within BD Group continues to be closely monitored to support ongoing loan repayments on the £28m advanced for asset acquisition, with work underway to strengthen returns and ensure that asset values and repayment plans remain aligned over time.

18.7. People and Resilience face considerable challenges with some of the most vulnerable members of the community with intensive social care needs and where demand can change rapidly. A few high-cost care packages can have significant financial impacts for the Council both short and long term.

18.8. The Council's level of borrowing has come under intensive scrutiny. For schemes already completed and financed by long term, fixed rate borrowing, the risk of the Council being unable to service that debt is greatly reduced. The risk here lies with net operational returns within the Reside Group being insufficient to meet the associated lease payments. This could arise either because rent increases do not keep pace with cost increases reducing net returns and/or rental income being lost through voids or bad debts.

18.9. As highlighted in the Investment and Acquisition Strategy section, this risk has materialised during 2025/26 but remedial action has been put in place to mitigate this risk further going into 2026/27 and beyond.

18.10. Given continuing high rates of interest for long term Public Works Loan Board (PWLB) borrowing at around 6%, since late 2024 the Council has been using short term PWLB borrowing with around £470m long term borrowed. This must be

refinanced between December 2025 and March 2026. Once again, the interest rate position means that short term PWLB borrowing is the only financially viable option for the Council.

18.11. With the general macro-economic climate, the Council expects further demand for housing and general support to manage finances and worsening personal financial circumstances could also materially impact on various fees and charges the Council relies on. Whilst the Council is an outlier in not facing temporary accommodation budgetary pressures, this situation could change and move rapidly.

18.12. As highlighted above, the use of estimates and assumptions in setting the budget and forecasting the MTFP introduces inherent risks that those judgement calls prove to be inaccurate after the event. The sensitivity section above sets out the key assumptions used in setting the budget for 2026/27 and the financial impact of a 1% change in any of these assumptions.

19. Reserves

19.1. The level of reserves is a key component of a robust and prudent medium-term financial strategy ensuring that funds are set aside for specific purposes or can be called upon to provide a buffer in the event of any unforeseen financial pressure. They are in effect the “shock absorbers” of the council’s finances and are the last line of defence to ensure resilience.

19.2. Reserves can be classed as general reserve or earmarked reserves, and they represent funds that are not part of the normal recurring budget but are distinct “pots” of finite funds. Good practice would be to maintain General Reserves to an appropriate level in line with an approved Reserves Policy.

19.3. The Cabinet was presented with a Reserve Policy in July 2023 which recommended that a General Reserve balance of £12m be maintained and it is proposed that this remains the case for next year. The budget proposals in this report support the maintenance of this balance.

19.4. The opening reserves for 2025/26 in the February 2025 report were forecast to be £111.65m. Opening reserves were £130.43m.

19.5. There have been other forecast transfers to and from reserves during 2025/26 and these have been reported through the in-year budget monitoring reports and forecast reserves at Period 9 are set in the table below.

	Opening Balance	Total planned movements (at P9 - 2025/26)	Closing Balance
	£'m	£'m	£'m
General Fund Reserves	(14.87)	0.00	(14.87)
Budget Support Reserve	(32.03)	0.24	(31.79)
Sub total	**(46.90)**	**0.24**	**(46.66)**
Ring-fenced Reserves	(25.48)	(1.08)	(26.56)
PFI Reserves	(13.88)	0.00	(13.88)
Collection Fund Reserves	(4.89)	0.00	(4.89)
Levy Funding Reserve	(7.56)	0.00	(7.56)
Sub total	**(51.80)**	**(1.08)**	**(52.88)**
Non Ring-Fenced Reserves	**(11.70)**	**0.17**	**(11.51)**
IAS & Hotel Reserves	**(20.03)**	**9.60**	**(10.44)**
Total Reserves	**(130.43)**	**8.92**	**(121.48)**

19.6. Furthermore, as indicated in the Quarter 3 section of this report (section 16), the Council's overspend is projected to be £2.8m which, if materialises at year-end, will need to be funded from a further reserve drawdown. However, management are exploring mitigation options to achieve a breakeven position for 2025/26.

19.7. In considering their decision on the budget proposals as presented, Members should consider the financial risks highlighted in this report to consider whether the forecast reserves are sufficient.

19.8. As outlined above, the Section 151 Officer is required to make a statement (known as the Section 25 statement) which sets out their opinion on the adequacy of reserves for the financial risks that the Council is facing. This statement can be found at Appendix H and members should have regard to this statement when making their decision.

20. Budget Consultation

20.1. Overview and Scrutiny Committee was consulted on the budget position and was briefed on the impact of the Provisional Local Government Finance Settlement. They were invited to formally submit any feedback for Cabinet consideration; however, no formal feedback has been received to date.

20.2. A public consultation was launched on 10 December 2025 and ran for just over four weeks, closing on 9 January 2026.

20.3. The consultation was promoted via a range of channels including:

- Press release
- Social media channels
- Articles in resident 'One Borough' newsletter
- Newsletter for business
- Articles in staff briefing

20.4. A budget Facebook Live Q&A took place on 17 December 2025 with Cllr Twomey, Leader of the Council and Cllr Worby, Cabinet Member for Adult Social Care, Health & Housing. The Facebook Live Q&A had 1,033 views, 5 shares, 67 comments.

20.5. The Leader also attended the following in person meetings:
- Business budget meeting (7 January 2026) – 65 people attended
- Chadwell Heath TRA meeting (8 January 2026) – Approximately 26 people attended
- Becontree TRA meeting (29 January) – 17 people attended.

20.6. In total, 287 people responded to the online consultation: 96% of respondents were residents, 3% were representatives from an organisation, and 1% from Barking and Dagenham businesses.

20.7. 24.8% of respondents supported raising Council Tax by 4.99% (excluding GLA) including the Adult Social Care precept.

20.8. Respondents prioritised these as their top three areas for allocating resources:
- Giving all children the best start in life
- Keeping streets and green spaces clean and collecting waste
- Supporting older people and adults with disabilities

20.9. Summaries of all the responses to the consultation are set out in Appendix F.

21. Final Local Government Finance Settlement.

21.1. The Government published the Final Local Government Finance Settlement on 9 February 2026. This confirms the Council's funding position for 2026/27 and provides provisional forecasts for 2027/28 and 2028/29.

21.2. For 2026/27, the changes from the provisional settlement to the final settlement are set out below:

	Provisional Settlement 2026/27	Final Settlement 2026/27	Movement
	£m	£m	£m
Baseline Funding Level	95.9	95.9	-
Revenue Support Grant	64.7	65.6	0.8
Local Authority Better Care Fund	13.2	13.2	-
Fair Funding Allocation	**173.8**	**174.7**	**0.8**

21.3. The £0.8m increase in Revenue Support Grant will be added to the planned contribution to the Budget Support Reserve (BSR), bringing the total contribution to £2.8m for 2026/27.

21.4. The settlement also introduces a new grant that will cover 90% of Dedicated Schools Grant (DSG) deficits accrued up to the end of 2025/26. The impact of DSG deficits accrued up to 2025/26 for the London Borough of Barking and Dagenham has been relatively small. However, the combined accrued deficit for 2025/26 and the projected

deficit for 2026/27 are expected to create a £0.8m pressure on the General Fund, assuming the Government maintains its 90% grant contribution. This pressure will be managed through a drawdown from the BSR.

21.5. There is no change to the Public Health Grant allocation between the provisional and final settlements; the final allocation remains £21.7m.

21.6. Based on the final Local Government Finance Settlement, the Council's total net General Fund budget requiring approval for 2026/27 is £266m, reflecting the overall resources available to support core services. This represents a £27.6m increase in net budget compared to 2025/26 and demonstrates the Council's continued commitment to strengthening service delivery and supporting the borough's residents.

22. Financial Implications

Implications completed by: Shabana Kausar**,** Director of Financial Services (Deputy Section 151 Officer)

22.1. The detailed financial implications have been covered throughout the report. Members are asked to note the Section 151 Officer's Assurance Statement at Appendix H.

23. Legal Implications

Implications completed by: Dr Paul Feild, Principal Governance & Standards Solicitor

23.1. Local authorities are under an explicit statutory duty to ensure that their financial management is adequate and effective and that they have a sound system of internal control and management of financial risk. This is set by sound public accounting practice guidance.

23.2. The Local Government Act 2003 (2003 Act) Section 25 sets a specific duty on a local authority's section 151 Local Government Act 1972, Chief Financial Officer (our Director of Finance and Investments), to make a budget calculation report to the said authority for it to take into account when it is considering its budget and funding for the forthcoming year. Their report must deal with the robustness of the estimates and the adequacy of the reserves included within the budget and the authority must have regard to the report in making its decisions. Section 26 of the 2003 Act gives the Secretary of State power to set a minimum level of reserves for which an authority must provide in setting its budget. The Secretary of State stated that 'the provisions are a fall back against the circumstances in which an authority does not act prudently, disregards the advice of its Chief Financial Officer and is heading for serious financial difficulty'.

23.3. By law a local authority is required under section 32 of the Local Government Finance Act 1992 to produce a 'balanced budget'. The current budget setting takes place in the context of significant and widely known reductions in public funding to local authorities. Where there are reductions or changes in service provision as a result of changes in the financial position an authority is free to vary its policy and consequent service provision but at the same time must have regard to public law considerations in making any decision lawfully as any decision eventually taken is

also subject to judicial review. Members would also wish in any event to ensure adherence to proper processes as part of good governance.

23.4. Part 1 of the 2003 Act requires a local authority body to each year set out its Treasury Management Strategy for borrowing and to prepare an Annual Investment Strategy which sets out its policies for managing its investments and for giving priority to the security and liquidity of those investments.

23.5. A local authority also has to prepare an Annual Minimum Revenue Provision Policy Statement setting out how it proposes to repay its debts. The form of the policy must accord with prudential public finance accounting principles as espoused by the Chartered Institute of Public Finance Accountants (CIPFA). The relevant guidance is set out in the CIPFA Code of Practice on Treasury Management in the Public Services and the CIPFA Prudential Code for Capital Finance in Local Authorities (See the Treasury Management Strategy for the details).

23.6. In terms of the budget and the effect it would have on service provision, whenever there are proposals for the closure or discontinuance of a service or services, there will be a need for appropriate consultation. For example, if savings proposals will affect staffing it will require consultation with unions and staff. In relation to the impact on different groups, it should be noted that the Equality Act 2010 provides that a public authority must, in the exercise of its functions, have due regard to the need to eliminate discrimination and to advance equality of opportunity between persons who do and those who do not share a relevant 'protected characteristic'. This means an assessment needs to be carried out of the impact and a decision taken in the light of such information. In addition to that, Members will need to be satisfied that Equality Impact Assessments have been carried out before the proposals are decided by Cabinet.

23.7. If at any point resort to constricting expenditure is required, it is important that due regard is given to statutory duties and responsibilities including the duty to make services better. Section 3 of the Local Government Act 1999 requires that local authorities must make arrangements to secure continuous improvement in the way in which its functions are exercised, having regard to a combination of economy, efficiency and effectiveness. This duty to make improvement also requires (section 3(2) of the 1999 Act), that in doing so consultation must be carried out.

23.8. Additional considerations the Council must have regard to in taking decisions are:

- any existing contractual obligations covering current service provision. Such contractual obligations where they exist must be fulfilled or varied with agreement of current providers;
- any legitimate expectations that persons already receiving a service may have to either continue to receive the service or to be consulted directly before the service is withdrawn;
- any rights which statute may have conferred on individuals and as a result of which the council may be bound to continue its provision. This could be where an assessment has been carried out for example for special educational needs statement of special educational needs in the education context);
- the impact on different groups affected by any changes to service provision as informed by relevant equality impact assessments.

23.9. Under the Council's Constitution part 2 chapter 4, paragraph 2.1(iii) the Assembly has the authority to approving the Budget, including the level of Council Tax, Revenue Budget and Capital Programme.

24. Other Implications

24.1. **Risk Management** - The Council recognises that maintaining a dynamic risk aware culture is vitally important as it goes through periods of change, with the increasing need to balance the effects of budget reductions, changes to services provided and possible increased demand. The benefits gained in managing risk effectively are improved strategic, operational and financial management, better decisions and outcome delivery, improved statutory compliance and ultimately improving the services that people receive.

The significant risks have been identified in this report, with impacts from those risks highlighted for consideration where possible. Controls and actions to manage risk are included within this report and have been integrated into the implementation plan to deliver the Budget Strategy. The Strategic Risk Register identifies 'Financial Management' as a key risk to achieving priorities, and this report contributes to the mitigation therein.

24.2. **Contractual Issues** - The expectation is that all procurements conducted will follow the processes as set out in the Council's Contract Rules, the Procurement Act 2023, which came into force in February 2025, and the Public Contracts Regulations 2015 (for procurements started before the Procurement Act 2023 came into force). All high risk/value procurements will be supported by Corporate Procurement to ensure that the process drives the commercial outcomes needed by the Council whilst delivering the service requirements.

24.3. **Staffing Issues** – The Council has agreed organisational change procedures which comply with legislation and have been agreed with Trade Unions. Formal and meaningful consultation with staff and trade unions take place when proposals to review a service are made. The Council is under a legal duty to issue an HR1 and S188 notice when considering redundancies including deletion of vacant posts. This has been undertaken by the Chief Executive and will be kept under review. Any redundancies are made in line with the Council's redundancy policy and redeployment opportunities are fully explored.

In addition to specific consultation with staff and Trade Unions on restructure proposals, under the Council's policy, a number of all staff engagement sessions have been held run by the Chief Executive and other members of the Executive Team.

24.4. **Corporate Policy and Equality Impact** - When setting this budget, the Council has been mindful of the need to protect and support vulnerable people. The Census, Joint Strategic Needs Assessment, and other key data sets highlight the levels of need, deprivation, inequality and disadvantage faced by our population. The other driver of approach to budget setting is to ensure delivery of the Corporate Plan priorities, and, more fundamentally, that the Council's resources are allocated and deployed in a way that guarantees statutory obligations will be met.

As part of the Public Sector Equality Duty, under the Equality Act 2010, the Council must ensure due regard to eliminating discrimination, advancing equality of opportunity and fostering good relations between people who share a protected characteristic and those who do not. This applies for day-to-day operations and in decision-making about policy and service changes. As part of the process of developing savings proposals Equality Impact Assessments were carried out using a consistent framework and method of assessment. As a minimum standard, all savings proposals were screened for equalities and service user impacts. Review of Equality Impact Assessment screening tools concludes the new savings proposals have a neutral impact for people with protected characteristics, or there is no material impact due to the proposal not changing the services provided, including how they are accessed or experienced by the service user. Similarly, it was determined the proposals would not affect the outcomes of the service user. Due to these impacts the cumulative impact assessment of the MTFS 2026/27 (see Appendix J) is that there is neutral impact.

The conclusion is the Council's proposals for achieving savings are considered reasonable and have shown due regard to the Public Sector Equality Duty.

Public Background Papers Used in the Preparation of the Report

- Budget Framework 2025/26 and Medium-Term Financial Strategy 2025/26 to 2027/28 – February 2025 Assembly https://lbbd.moderngov.co.uk/documents/s173082/Budget%20Framework%202025-26%20Report.pdf
- Medium Term Financial Strategy 2026/27 to 2028/29 – August 2025 Cabinet https://lbbd.moderngov.co.uk/documents/s175926/MTFS%20and%20Budget%20Strategy%20Report.pdf
- Draft Budget Strategy 2026/27 to 2030/31 – December 2025 Cabinet https://lbbd.moderngov.co.uk/documents/s177878/Budget%20Strategy%202026-27%20Report.pdf

List of appendices

- Appendix A: MTFS Summary
- Appendix B: Savings and Growth Detail List
- Appendix C: Reserves Summary
- Appendix D: Council Tax Requirement 2026/27
- Appendix E: Calculation of the Proposed Council Tax for 2026/27
- Appendix F: Budget proposals consultation feedback for 2026/27
- Appendix G: Capital Budget 2026/27
- Appendix H: Section 25 Statement
- Appendix I: Strategy for the Flexible Use of Capital Receipts
- Appendix J: Cumulative Equalities Impact Assessment